A Letter to My Ancestor: The English or the Dutch East India Company, 1725–1750

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Dearest Ancestor,

In January 1725 you plan to put your savings into one of two chartered monopolies, the English East India Company or the Dutch *Vereenigde Oostindische Compagnie* (VOC), and to sell sometime between 1745 and 1750. My advice is to buy the English Company and to sell early in 1745. I should say at the outset what I can and cannot support. I can show how the two firms were built, how their finances moved, and what happened to each before 1750. I could not obtain a month-by-month share-price series, so my timing advice rests on dividends, debts and war, not on a price chart.

How the two companies differ

Both are chartered monopolies with tradable shares. The English Company traces to a charter from Elizabeth I in 1600; the VOC was founded in 1602 (Koot). The English Company is run by twenty-four directors elected by its shareholders, and it shares Leadenhall Street in London with the Royal African Company (Robins). The VOC is governed by the *Heeren XVII*, the Seventeen Gentlemen, to whom its Governor-General in Batavia reports (Stellwagen).

Their businesses differ more than their structures do. The VOC's strength is trade inside Asia, and it also owns land and people: its clove plantations in Banda were worked by enslaved labour (Koot). The English Company lives on shipping goods between Asia and Britain, and its fate is tied to the Crown and Parliament, which charter it, tax it and borrow from it (Bogart).

Fortunes, 1725 to 1750

The Dutch company looks safe and is not. Its share price hit record highs in the 1720s, but the dividend yield was only about 3.4 percent. In the 1730s the shares behaved like bonds paying three to four percent, with little hope of capital gain. Profits shrank to two or three percent of revenue, and between 1690 and 1760 the company paid out more in dividends than it earned. After 1730 it ran down its capital and borrowed short-term (Koot). You would be buying a stock at its peak and holding something that pays like a bond.

The English company is steady until about 1740. Its price passed £200 around 1717, and Robins describes a "golden age" of steady dividends from the 1720s to the early 1740s. The state takes its cut, though. In 1730 Parliament renewed the Company's charter in return for £200,000 paid to George II and a lower interest rate on the £3.2 million the Company had lent the government (Bogart). In 1744, in the middle of the War of the Austrian Succession, it lent £1,000,000 at three percent to the king in return for an extension of its monopoly. Bogart finds that the Company was forced to lend in every war up to 1750.

After 1740 the English outlook turns. Robins puts a French threat and falling dividends from 1740 into the early 1750s. The war reached India. Ananda Ranga Pillai, the Frenchman Dupleix's broker at Pondicherry, kept a diary whose 1746 index lists the alarm in Madras and the celebration of its capture (Pillai). The peace of 1748 restored the pre-war position: Article V of the Treaty of Aix-la-Chapelle returns conquests made in the East and West Indies (Treaty). So the English Company lost its principal Indian

settlement for several years and got it back. A shareholder who sold in 1745 avoided the worst of this, but could not have known that.

When to sell

Sell early in 1745, at the start of your window. By then the dividends are already falling, the Company has just been made to lend the Crown a million pounds, and France is a threat in India. Waiting for 1748 buys you nothing the company had not already promised, and it exposes you to the French attack on Madras. The cost of this advice is that I am guessing the price had not yet collapsed by early 1745. If Castaing's *Course of the Exchange* shows a price drop in 1744, sell earlier. Check it.

Holding the Dutch company to 1750 is no better. Koot's figures put the VOC's problem in the 1730s, not the 1740s, so there is no later date at which it recovers. If you did hold Dutch shares, you would be collecting a bond's dividend out of capital.

Does the ethical answer differ?

Neither company was clean. Both used enslaved labour. By 1730 enslaved people from Madagascar, India and Southeast Asia were an important part of the population at the English Company's stations on St Helena and Bencoolen (Bennett). The VOC's clove plantations on Banda were worked by enslaved people (Koot).

The sharpest event inside your window is Dutch. On 9 and 10 October 1740 the Batavia government slaughtered the city's Chinese residents. Valckenier's own letters to the Seventeen put the dead at "niet minder dan 10,000 Chineezen", no fewer than 10,000 Chinese (Stellwagen, p. 209 ff.). The Seventeen annulled the arrests of the officials who had challenged him, but they later had Valckenier himself arrested and tried; he died in prison in 1751 (Stellwagen, p. 228). As an investor you would have been paid dividends from the same company. Adam Smith, writing in 1776, warned of rulers who would "treat the countries subject to their government nearly as the Dutch treat the Moluccas" (Smith, vol. 2, p. 412). He did not need to explain the comparison, which shows how the Dutch company's rule was understood.

So the ethical answer is different from the profitable one only in how strongly it is put. On both measures the English Company comes out ahead of the Dutch, but the ethical case adds a third option I would take seriously: buy neither. The English Company shared Leadenhall Street with the slave-trading Royal African Company (Robins), and the 1748 treaty that restores its settlements also confirms the *Asiento*, Britain's contract to supply enslaved Africans to Spanish America (Treaty, Art. XVI). If you are going to invest anyway, then the English Company, sold in early 1745, is both the better financial choice and the smaller moral cost. If your conscience will not carry either, I think the price of declining is small, because the Dutch shares would have paid you only a bond's return.

With respect and some regret,

Your descendant, Cameron Nell

Word count (letter, excluding this line and the bibliography): 1,044

Bibliography

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